

PREFERRED EQUINE ONLINE, LLC
CONDITIONS OF SALE: ONLINE SALES

**IMPORTANT AND LEGALLY BINDING RULES APPLICABLE TO THIS
SALE. PLEASE READ.**

This sale is governed by these Conditions of Sale and by all announcements online or otherwise ("Announcements"). **All Sellers, Consignors, Agents, owners, prospective bidders/Purchasers, all other interested parties and all sales are therefore bound by and subject to the provisions of the Conditions of Sale as set forth in this catalogue on www.preferredequineonline.com and in the Announcements.**

All prospective bidders are urged BEFORE BIDDING to personally examine with care or cause their agents and/or veterinarians to examine with care, any horse upon which they may be interested in bidding. All horses purchased at this Sale are purchased "AS-IS" with all existing conditions and defects, except those conditions and defects which are specifically warranted in these Conditions of Sale. In all other respects the AS IS nature of this sale remains in full force and effect. All prospective bidders/Purchasers acknowledge presale exams may be conducted by physically viewing the horse, if available, by video, by photos, or through an Agent. All prospective bidders/Purchasers further acknowledge that if the presale exam is insufficient as determined in the sole discretion of the prospective bidder/Purchaser, said prospective bidder/Purchaser shall not bid on the horse.

Consignors may make arrangements with prospective bidders/Purchasers prior to sale which differ from these Conditions of Sale. In this event, the Company shall have no responsibility in regard to any such agreed upon arrangements and, except to the extent provided in these Conditions of Sale, their enforcement shall be the responsibility of the parties to the agreement.

All prospective Purchasers who utilize Agents are further urged to reach an agreement with the Agent concerning the Agent's apparent or real conflicts of interest and disclosure of the Agent's compensation, if any, from whatever sources, directly or indirectly, relating to or arising out of, the Agent's services. *KRS 230.357 makes it unlawful to receive money or any item of value in excess of \$500.00 in connection with the sale or purchase of a horse except with full disclosure and written consent of both Purchaser and Seller; provided, however, this prohibition shall not be applicable where the Agent is acting solely for and compensated solely by the principal.*

As used in these Conditions of Sale, the following terms shall have the following meanings:

"Agent" means any trainer, consignor, bloodstock agent, racing or stud manager or other person or entity who represents a Principal, directly or indirectly, whether the Agent is paid by way of retainer, commission or other forms of remuneration, or has ongoing financial arrangements such as training, management or similar fees.

"Company" shall mean Preferred Equine Online, LLC.

“*Company Parties*” shall mean Company and its affiliates, owners, members, directors, officers, employees, service providers, independent contractors, agents and representatives.

“*Consignor*” means a person or entity acting as agent for a Seller.

“*Principal*” means a person or entity who appoints an Agent to act on his behalf.

“*Purchaser*” means a person or entity who makes the highest bid recognized by the Company at the close of the sale.

“*Seller*” means a person or entity who sells all or any interest in a horse.

1. BIDDING. In accordance with KRS 355.2-328 and KRS 330.210, and other applicable laws, the right to bid in this sale is reserved for all Sellers, including their disclosed and undisclosed agents, unless otherwise announced at the time of sale. Purchasers therefore agree and acknowledge that Sellers have the right to set reserves implemented by the Company upon horses so entered which are not disclosed to Purchasers and also have the right to conduct by-bidding as related to their entries. *Sales results reported by Company Parties may or may not reflect the fair market value of any horse(s) going through a sale as, among other reasons, Consignors may inform Company after the sale concerning horses that may have been initially reported as a sale(s) which are, in fact, not a sale.* The person making the highest bid recognized by the Company at the close of the sale shall be the Purchaser and shall forthwith sign the Acknowledgement of Purchase and Security Agreement and such forms as the Company may require and otherwise comply with these Conditions of Sale, including, without limitation, make timely payment to the Company. Company reserves the right to reject any or all bids, in its sole discretion. In the event that the Seller, Consignor (or his Agent) bids on his own horse (RNA), then Consignor shall so notify Company within thirty (30) minutes of the conclusion of that sales session.

Bidders may participate in a sale by bidding online through Company’s live bidding platform, subject to approval by Company in its sole and absolute discretion. To bid online, Bidders must register online at least 24 hours before the start of the sale. As noted above, Company encourages all Bidders to conduct pre-sale exams on any horse on which they may bid. All Bidders agree to these Conditions of Sale and all Announcements as well as such additional terms as Company, in its sole and absolute discretion, may require. When making a bid, Bidder accepts personal liability to pay the purchase price, as described more fully in Condition 6 below.

Any Bidder who places a bid expressly acknowledges and agrees as follows: (1) online bidding relies upon technology that may malfunction without warning and through no fault of Company; (2) online bidding is being provided on an “**AS AVAILABLE**” and “**AS IS**” basis and Company does not guarantee continual, uninterrupted or error free online bidding; and (3) Company shall be absolved from any and all liability related to or arising from any interruption in service, errors and/or omissions with respect to online bidding and each Bidder/Purchaser who places an online bid shall hold Company harmless from any loss or claim resulting therefrom.

2. WARRANTY DISCLAIMERS: OTHER THAN THOSE LIMITED WARRANTIES EXPRESSLY STATED IN THESE CONDITIONS OF SALE (SPECIFICALLY INCLUDING, BUT NOT LIMITED TO, CONDITION 8) OR UNLESS OTHERWISE EXPRESSLY ANNOUNCED AT TIME OF SALE, THERE IS NO WARRANTY OR GUARANTEE OF ANY KIND, EXPRESS OR IMPLIED, BY COMPANY, SELLER, AND/OR CONSIGNOR AS TO THE SOUNDNESS, CONDITION, WIND OR OTHER QUALITY OF ANY HORSE SOLD IN THIS SALE. THERE IS NO WARRANTY, EXPRESS OR IMPLIED, BY COMPANY, SELLER AND/OR CONSIGNOR, EXCEPT AS SPECIFICALLY SET FORTH HEREIN, AS TO THE MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY

HORSE OFFERED IN THIS SALE. SUBJECT TO THE LIMITED WARRANTIES STATED HEREIN, ALL SALES ARE MADE ON AN “AS-IS” BASIS, WITH ALL FAULTS AND DEFECTS. OTHER THAN FAILURE TO SATISFY THE EXPRESSLY LIMITED WARRANTED CONDITIONS LISTED IN CONDITION 8 BELOW, NO OTHER DEFECTS SHALL CONSTITUTE A NONCONFORMITY, SUBSTANTIAL OR OTHERWISE, WITH THE TERMS OF THE CONDITIONS OF SALE/CONTRACT.

3. BIDDING DISPUTES. If a dispute arises involving two or more bidders, the Company shall forthwith adjudicate it, and its decision shall be absolute, final and binding on all parties. Bids received after the close of the sale are not grounds for dispute. In cases of a valid dispute, the bidding shall be forthwith reopened for advance bids and if no advance is made, the horse in question shall be considered sold to the person last recognized as the highest bidder. Advance bidding shall be restricted to the parties to the dispute. However, if, after the bidding is reopened, the recognized bid is reduced below the bid previously existing at the commencement of a dispute, bidding shall be reopened to all bidders, and the final bid therefrom shall stand, regardless of whether the final bid exceeds the disputed bid. The bid recognized at the conclusion of any bidding dispute shall be deemed the sales price and Consignor shall not be entitled to any amount over the sale price. In the event the bidder who had the highest and last bid at the close of the sale refuses to pay the purchase price within two (2) business days following the day of the sale, Company may elect at its sole discretion, to either re-enter the horse at the same or next available sales session or withdraw the horse entirely from the sale. Company reserves the right to bring suit against said bidder for the amount of the sale price (or any deficiency if resold), plus any other damages or may, in its sole discretion, assign such right to the Consignor, in which event Company shall have no further obligation arising out of the subject horse being entered and going through the auction process. Further, Seller, Consignor and bidder agree to hold Company Parties harmless for any deficiency or loss incurred by any of them resulting from such action.

In the event of a technology issue of any type (including, but not limited to, malfunctions affecting, or resulting in a temporary inability to use, online bidding platforms, computers, telephone servers, or any similar technological equipment or software), Company reserves the right, exercisable in its sole and absolute discretion, to temporarily suspend bidding, extend the relevant bidding period, cancel the sale, or reoffer the lot affected for sale.

4. MISSED RESERVES: The Company shall use its best efforts to adhere to reserves properly and timely placed (in accordance with time limits and other requirements established by Company). In the event a horse is sold to a Purchaser for less than the reserve, the liability of Company shall be limited to paying the Consignor an amount not to exceed the reserve less the commission charged on the sale. In the event a horse is sold with a reserve higher than that placed by the Consignor (including, without limitation, a reserve placed on a horse when none was directed by the Consignor), the horse, if not sold to a Purchaser, may be re-offered for sale at the option of Consignor; and Seller, Consignor and Company agree that Company shall waive all of its commission, including any entry fees paid, as liquidated damages and neither party shall have any other rights, claims or obligations to the other arising out of the reserve error.

5. TITLE; RISK OF LOSS; DELIVERY: EXCEPT AS OTHERWISE PROVIDED HEREIN, TITLE AND RISK OF LOSS PASS TO THE PURCHASER AT THE CLOSE OF THE SALE, AT WHICH TIME ALL RISK OF INJURY OR LOSS AND ALL RESPONSIBILITY FOR THE HORSE SHALL PASS TO THE PURCHASER. Responsibility for expenses incurred on the horse after the close of the sale become the Purchaser’s obligation at the passage of the title. The horse will be held for Purchaser by Consignor until Purchaser makes settlement as provided at CONDITION 6 below and arrangements for delivery of the horse to Purchaser are made. Delivery is affected only upon Purchaser’s presentation of a “stable release” in accordance with this CONDITION 5.

Stable Release: Upon settlement by Purchaser as provided in CONDITION 6, the horse will be delivered by means of a “stable release” provided by Company to Purchaser or his representative. Purchaser or his representative shall present a “stable release” in order to be permitted to remove any horse from the location of the horse when sold; but in

any case taking possession of the horse by Purchaser, agent or his representative shall constitute delivery and acceptance. Unless other arrangements have been made with Consignor and Company, Purchaser shall remove all horses promptly from the location of the horse when sold within twenty-four (24) hours after the sale. In addition, should Purchaser fail to remove the horse(s) promptly, Company may make arrangements for the horse(s) (including without limitation removing the horse(s) from the location of the horse when sold at Purchaser's risk and expense or charging the Purchaser for stable space).

Indemnity Regarding Care of Horses: Seller, Consignor and Purchaser agree to release, defend, indemnify and hold the Company Parties harmless from all losses, damages, expenses, claims, causes of action and/or attorneys' fees arising out of or related to the possession, care, custody, control or maintenance of any horse either sold or purchased by them, including, but not limited to, any claims arising out of injuries or damage caused by the horse (including death).

Right of Resale: Notwithstanding the provisions of this CONDITION 5, the Company shall have the right of resale accorded by CONDITION 10 of these Conditions of Sale.

6. TERMS FOR SETTLEMENT: Each Purchaser shall make payment to the Company in all cases. **Payments to any other person, including a Consignor, his agent or representative, shall not constitute settlement.** Purchaser shall make payment for the full purchase price (which shall include any tax which may be due and owing as determined by Company or as may be later determined by the taxing authority with jurisdiction over the sale upon audit) for each horse purchased as may be required by Company and not later than twenty-four (24) hours from the close of the sale, such payment to be in the form of U.S. currency by wire transfer or approved bank check, certified check, or traveler's check.

Company reserves the right exercisable by Company in its sole and exclusive discretion, which shall be final and binding upon all parties, to (1) refuse to extend credit to Purchasers who have unpaid accounts for previous Company or other sales, and/or (2) refuse the opportunity to bid or refuse to accept the bid of a Purchaser who has an unpaid account from a previous sale, or who has not established his credit with Company or established to the reasonable satisfaction of Company that payment will be made as required by Company, and/or (3) require either collected funds be on deposit with Company or an irrevocable letter of credit acceptable to Company prior to accepting any bid(s). Bidders are cautioned that the fact that they may have been extended credit at a prior sale does not necessarily mean that they automatically have credit at this sale and future sales. Company further retains the right to demand re-establishment of credit for any previous Company Purchaser prior to their bidding in this sale. Company further reserves the right, in its sole and exclusive discretion, at any time and for any reason (except race, sex, color, or creed), to revoke any credit previously established and to therefore refuse to accept the bid(s) of a Purchaser who has not established prior to his bid(s), that payment will be made in full within sixty (60) minutes from the close of the sale. All Purchasers shall pay the purchase price for the horse(s) within twenty-four (24) hours from the close of the sale.

Security Interest: Any Purchaser who has purchased a horse grants to Company a "Security Interest" in all horses purchased and their certificate(s) of registration (including without limitation digital certificate(s)) and in any products and proceeds thereof, to secure payment of any outstanding sums owed to Company on the Purchaser's account. Company may, in its sole and exclusive discretion, elect to make full or partial settlement with Consignor despite a default by Purchaser. **SUCH ELECTION(S) BY COMPANY TO PAY THE CONSIGNOR SHALL NOT CONSTITUTE A WAIVER, NOR ESTABLISH A CUSTOM AND SHALL NOT ABROGATE COMPANY'S RIGHT TO WITHHOLD SETTLEMENT FROM CONSIGNOR IN ANY OTHER CASE WHERE THE PURCHASER HAS DEFAULTED.** In no case shall any part of the purchase money be paid directly to the Consignor by the Purchaser unless otherwise agreed to, in writing, by Consignor, Purchaser and Company. Such payment will not be regarded as valid and will not entitle the Purchaser to obtain the horses so purchased in this manner. On final settlement for a horse, or the approval of the Purchaser's credit by Company, Company will issue a "stable release" which must be presented by the Purchaser to the stable manager for delivery of the horse as provided in CONDITION 5.

Purchaser hereby appoints the Company as its attorney-in-fact to prepare, execute and file any financing statements or documents necessary to perfect and enforce the security interest created herein. By execution of the Acknowledgement of Purchase and Security Agreement for a particular horse, the Purchaser acknowledges and ratifies this security interest and lien and the authority given to the Company to execute, deliver, and record the security instruments contemplated hereby.

Insurance: All purchases made on an approved credit basis must be insured by Purchaser for the full amount of the purchase price with no deductible, on a full mortality basis, premium paid, for the benefit of Company and Company shall be named as loss payee until the insured horses have been paid for in full. The policies shall provide for not less than thirty (30) days advance written notice in the event of cancellation or amendment. Purchaser hereby appoints Company as its attorney-in-fact to endorse any draft for proceeds thereof on Purchaser's behalf. In the event Purchaser fails to comply with this requirement or coverage lapses, Company may, in its sole and absolute discretion, secure such insurance at Purchaser's expense.

Each Purchaser acknowledges and agrees (1) that the Company and the Consignor, and each of them individually, may (but shall not be obligated to) take such additional actions and incur such costs and expenses as they, or either of them, in their sole discretion, may deem necessary or appropriate to preserve, protect and maintain the value of this security interest and lien, including, without limitation, the payment of fees in respect of each or any horse purchased as such fees become due, and (2) that any and all costs and expenses incurred by the Company for this purpose will constitute additional indebtedness of the Purchaser which is secured by this security interest and lien.

The Company shall hold the registration certificate(s) from the applicable standardbred authority for all horses purchased by any Purchaser until the Purchaser's account, including late charges and any other fees, have been paid in full.

The Company shall not be bound by any oral or written agreement or alleged agreement varying from these Conditions of Sale between the Purchaser and the Consignor. No Purchaser shall be entitled to any setoff or credit against the purchase price of any horse, unless written notice of the setoff or credit in favor of the Purchaser is delivered to the Company prior to the start of the sale; and no credit or setoff shall be effective for any horse which is subject to a lien or security interest in favor of any third party, unless the third party has consented, in writing, to the setoff or credit prior to the start of the sale.

7. DEFAULT: In the event any Purchaser fails to (1) timely sign an Acknowledgment of Purchase and Security Agreement, (2) pay the purchase price within forty-eight (48) hours from the close of the sale, (3) obtain advance approval of credit or financial responsibility, or (4) provide and pay for full mortality insurance as required, then the Purchaser shall be deemed a defaulter ("Defaulter") and Company shall notify the Consignor of the default upon discovery of the Defaulter. The Consignor of the horse for which the purchase price is not paid has the option of (a) extending credit to the Purchaser and accepting all risk therefor; (b) voiding the sale, and requesting the horse be re-offered; or (c) retaining ownership of the horse. Consignor must decide which of the three foregoing options it elects within two (2) hours of notice to the Consignor by Company of non-payment. If the Consignor fails to make its election within said two (2) hours, the horse may, in Company's sole discretion, be re-entered in the next available sales session (whether digital or live), and then be sold with the prior attempted sale to the Defaulter being voidable by Company, which shall be binding on all parties. In the event Company, in its sole discretion, determines it is not practicable or advisable to resell the horse during the same sales session, then the horse may be resold by Company at public or private sale, including on any subsequent day or sales session of the sale in question, without prior notice, for the Defaulter's account, costs of such sale and attorneys' fees to be borne by the Defaulter. Any deficiency owed by Defaulter resulting from resale on account of any default which is not collected from the Defaulter shall be borne by the Consignor, and Company shall have no

responsibility therefore. If Company determines it is not feasible to re-offer the horse for sale, Company shall have the right to bring suit against the Defaulter and/or to repossess the horse and its registration papers and in connection therewith, Company shall be entitled to the recovery of its costs, including without limitation all reasonable attorneys' fees, from the Defaulter. Any horse purchased by a Defaulter may be resold by Company at public or private sale, without prior notice, for the Defaulter's account, costs of such sale to be borne by the Defaulter. **FURTHER, THE DEFAULTER SHALL BE LIABLE FOR A DELINQUENCY OR LATE CHARGE AT THE RATE OF ONE AND ONE-HALF PERCENT (1-1/2%) PER MONTH ON THE UNPAID PURCHASE FROM THE DATE OF SALE UNTIL PAID, COMPOUNDED MONTHLY.** If any horse resold pursuant to this CONDITION 7 sells for an amount greater than the final recognized bid of the prior attempted sale, all additional proceeds of the sale shall be credited to the Consignor and none to the Defaulter. Should such resale fail to satisfy the Defaulter's account in full, Defaulter shall be responsible for any such deficiency balance and shall pay Company the amount owing, including late charges, all reasonable attorneys' fees, costs of such litigation and any other damages available to Company by law, including reimbursement for all expenses in caring for and insuring said horse.

8. LIMITED WARRANTIES: UNLESS OTHERWISE EXPRESSLY ANNOUNCED AT THE TIME OF SALE AND EXCEPT FOR THE WARRANTIES OF THE CONSIGNOR SET FORTH BELOW IN THIS CONDITION 8, THERE IS NO GUARANTEE OR WARRANTY OF ANY KIND, EXPRESS OR IMPLIED, AS TO THE SOUNDNESS, CONDITION, WIND, MERCHANTABILITY, OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY HORSE OFFERED IN THIS SALE. Unless otherwise noted in the catalogue or by an Announcement, the Consignor warrants and represents that the following are true at the time of the sale: (1) that each consigned horse is correctly described in the catalogue as a colt, a ridgling, a gelding, a filly or a stallion; (2) that no consigned horse has been conceived as a result of embryo transfer; (3) that no embryo, egg, semen or other genetic material (other than genetic material required and used for DNA testing and other nonproductive purposes) has been harvested from any consigned horse; and (4) that each consigned horse is duly registered as a standardbred with the appropriate authority.

Any horse whose condition is contrary to the Consignor's warranties set forth in the immediately preceding paragraph of this CONDITION 8 and is not the subject of an Announcement at the time of sale will be subject to return to the Consignor with refund of the purchase price, **provided that the Company is so notified in writing by veterinary certificate of such defect or variation, and the rejection or revocation of acceptance on the above grounds occurs, and the veterinary certificate is received by the Company, within forty-eight (48) hours after the start of the sales session at which the horse in question was sold.** If the Consignor's veterinarian disagrees with the veterinary certificate supplied by the Purchaser, the Company shall appoint a third veterinarian ("Third-Party Veterinarian") whose certificate in these circumstances shall be binding upon the Consignor, the Purchaser and all other parties, absent fraud or bad faith. The parties acknowledge that they expressly waive any requirement that the Third-Party Veterinarian conduct a hearing and further waive any right they may have to participate in any hearing procedure other than as provided in these Conditions of Sale. Company shall have no liability to any party as a consequence of any breach by the Consignor with respect to the limited warranties of the Consignor set forth above.

All horses in this sale have been DNA tested for parentage certification, with the results furnished or to be furnished to the Company. If any unprocessed DNA results prove to be negative (such that the horse does not qualify for the parentage indicated in the Catalogue), the Company shall notify the Purchaser and the horse in question shall be returned to Consignor with refund of the purchase price.

Consignor shall have the sole responsibility concerning the accuracy of the disclosures/announcements of the condition of any horse as aforesaid and required above, and Seller, Consignor and Purchaser agree that Company Parties are absolved from any liability relating to such announcements/disclosures and each

agrees to hold Company harmless from any loss incurred relating to such announcements/disclosures and any claims resulting therefrom. In any case in which a horse is returned to the Consignor in accordance with these Conditions of Sale, the Consignor shall pay all proper expenses incurred on the horse from the close of the sale until the return of the horse to the Consignor. Proper expenses include, but are not limited to, such items as veterinarian charges, vanning, and boarding. The parties acknowledge that only the limited warranties set forth in this CONDITION 8 will permit rejection or revocation of acceptance and that such rejection or revocation shall be the Purchaser's sole and exclusive remedy. In all other respects, the "AS-IS" nature of this sale remains in full force and effect. **Other than failure to satisfy the aforementioned expressly warranted conditions, no other defects shall constitute a nonconformity, substantial or otherwise, with the terms of the contract.**

9. CATALOGUE; RESERVES; ANNOUNCEMENTS: The accuracy of all information on the catalogue page(s) is the sole responsibility of the Consignor. Consignor shall have the affirmative duty to examine the catalogue page(s), on which horses consigned by him appear, prior to sale and report any inaccuracies to Company so that it may make an appropriate announcement prior to sale. All such announcements must be provided, in writing, no later than thirty (30) minutes prior to sale of the horse. Company has the sole discretion as to whether to make any such announcements if received after such deadline, or to scratch the horse from the sale. Notwithstanding any remedies the Purchaser may have as against the Consignor, in the event of an inaccuracy or misdescription of any horse listed in this catalogue (including, without limitation, the wrong identity), Purchaser agrees that Purchaser's sole remedy as against Company Parties, if Purchaser has any remedy against Company Parties, shall be liquidated damages in the amount of a refund of the commission earned by Company, which shall only be applicable upon return of the subject horse, and Purchaser shall have no other remedy as against Company Parties arising out of any such inaccuracy or misdescription of such horse in the catalogue. In the event Company is nevertheless required to refund the purchase price to Purchaser, Company may recover said purchase price from Consignor, if same has been paid by Company to Consignor. Consignor and Purchaser agree to hold Company Parties harmless for any loss incurred by either Consignor, Purchaser or any third party as a result of (a) Company Parties' failure to make such announcement or (b) incorrect announcements made.

10. DISPUTE RESOLUTIONS: For all dispute resolutions as provided in these Conditions of Sale, expenses of the Third-Party Veterinarian, as applicable, and Company Parties shall be the responsibility of the non-prevailing party. Consignor shall be solely responsible for expenses incurred by him, including his veterinarian, and Purchaser shall be solely responsible for expenses incurred by him, including his veterinarian. During the period of determining whether the sale shall be rejected or acceptance revoked, the horse shall be at the risk of the party who does not prevail. Boarding of the horse during this period shall be arranged by Company with the cost of same to be borne by the non-prevailing party.

Possession of Horse: During the pendency of any dispute under these Conditions of Sale, if no party is willing to take possession of the horse which is the subject matter of the controversy, all interested parties agree that Company may take all such steps as it deems advisable in the maintenance and care of such horse, including, without limitation, board, veterinary care, and any other reasonable expenditures such as insurance coverage. Furthermore, Company shall have the sole discretionary right, but shall be under no obligation, to sell the horse in controversy at any sale, public or private, and upon such terms and conditions as Company may deem appropriate. Company has the sole discretion as to making any Announcements concerning the condition of the horse prior to such sale. Such sale may be made, within the sole and exclusive discretion of Company, with or without notice to the Seller, Consignor or Purchaser. All such costs and expenses shall bear interest at the rate of 12% per annum, and Company shall be reimbursed for same, costs and expenses plus interest thereon, by the party ultimately determined to be the owner of the horse in controversy. In the event the subject horse should be resold, all parties agree that Company shall be reimbursed first for any expenses it has incurred in the care of such horse and for its legal expenses with the balance, if any, to be paid to the Consignor.

Other than those disputes which are subject to binding resolution as set forth in these Conditions of Sale, for all such other disputes among Seller, Consignor, Purchaser and/or Company Parties arising out of this sale, including but not limited to, any dispute arising under these Conditions of Sale regarding the purchase and sale of any horse at this sale, all interested parties agree that Company Parties may seek judicial resolution of such dispute and shall be reimbursed for its reasonable costs and expenses, including interest and attorneys' fees, pending determination thereof.

Hold-Harmless: Seller, Consignor and Purchaser agree to hold Company Parties harmless for any deficiency or loss the Seller, Consignor and/or Purchaser may incur upon the resale of such horse in the event Company is unable to resell the horse for an amount equal to or greater than the original purchase price.

Limitation of Actions: Any cause of action arising out of the purchase and sale of any horse at this sale shall be commenced not more than one (1) year after the close of the sale; provided, however, that the foregoing limitation shall not apply to an action against the Purchaser for recovery of the purchase price, plus interest and expenses (including reasonable attorneys' fees), nor shall it restrict Company's right to repossess any horses purchased at this sale as provided in these Conditions of Sale.

11. AGENTS. Persons acting as Agents for Principals, irrespective of whether the Principal is in attendance or otherwise participating in the sale, must file letters of authorization from the Principal(s) stating that the Agent is acting on their behalf and that said Principal will be responsible for Agent's sales or purchases. **Failure to comply with this Condition of Sale will result in the Agent being deemed to be a co-obligor with the Principal with respect to all matters in connection with or arising out of the sale and impose joint and several personal liability upon such Agent for any breach of contract.** All persons acting as Agents for Principal(s) also are responsible for ensuring that the Principal either has approved credit or makes settlement for the full purchase price for each horse purchased not later than twenty-four (24) hours from the close of the sale. By bidding on a horse, a person acting as Agent agrees to be personally liable with the Principal, for the full purchase price of the horse purchased if the Principal does not make settlement for the full purchase price within twenty-four (24) hours from the close of the sale.

12. DISCLAIMER OF IMPLIED DUTIES. Company shall endeavor to protect the interests of both Consignor and Purchaser, but the duties and obligations of Company to such persons shall be strictly limited to those expressly imposed upon Company by these Conditions of Sale. All other duties and obligations, including fiduciary and other duties which might otherwise be imposed upon Company by operation of law, are hereby expressly disclaimed, except that Company shall be required to exercise that standard of care generally exercised by other comparable standardbred horse auction companies.

13. BID REFUSAL. Company specifically reserves the right to refuse to accept and/or reject and/or ignore any bid(s) from any person(s), even if credit has been approved or even if payment is tendered or believed to be forthcoming; provide that such refusal shall not be made on the basis of race, creed, color, national origin, sex, political affiliation or beliefs.

14. SALES TAX. Each horse offered for sale in this catalogue is subject to sales or use tax, which must be paid by Purchaser in addition to the purchase price, unless the sale of the horse qualifies for an exemption under applicable law. It is the responsibility of the Purchaser to furnish the Company with certificates or other documentation satisfactory to Company establishing the applicability of the exemption.

15. MERGER OF AGREEMENT; CONSTRUCTION. The Consignor, Seller or Company may have made oral statements or published advertisements concerning the physical condition or the racing abilities of the

horses described in this catalogue (digital or print) or this sale generally. Such statements or advertisements do not constitute warranties, shall not be relied upon by the Purchasers and are not part of the contract for sale. The entire contract of sale is embodied in these Conditions of Sale, the Acknowledgement of Purchase and Security Agreement, the Authorization to Bid request (if any), and any Announcements. The aforementioned constitute the final expression of the parties' agreement and are a complete and exclusive statement of that agreement. Any attempt on the part of the Purchaser to unilaterally alter or modify these Conditions of Sale by making changes on the Acknowledgment of Purchase and Security Agreement is prohibited and shall be invalid and unenforceable. Notwithstanding the above, the Seller, Consignor and Purchaser may enter into an agreement which modifies the limited warranties as provided herein; however, any such action by the Seller, Consignor and Purchaser cannot and shall not modify or alter the duties, responsibilities and rights of Company Parties as provided in these Conditions of Sale. The word "or" when used herein shall be used in the inclusive sense of "and/or".

16. GOVERNING LAW; VENUE AND JURISDICTION; WAIVER OF JURY TRIAL. The laws of the Commonwealth of Kentucky shall govern the construction of these Conditions of Sale and the rights, remedies and duties of the parties hereto. **In the event of any litigation arising out of these Conditions of Sale or the transactions contemplated hereby, the parties agree that any action or suit shall be brought in a court of record in the County of Fayette, Commonwealth of Kentucky, or in the United States District Court for the Eastern District of Kentucky, and the parties hereby consent to the venue and jurisdiction of such courts.** The Seller, Consignor, Purchaser, Company Parties and their respective Agents, voluntarily and intentionally **waive any right that they may have to a trial by jury** in respect to any litigation arising from or connected with this sale.

17. PRIVACY POLICY. The information Company collects and its use policies are set forth in more detail in our Privacy Policy, available at [link], which is fully incorporated into these Conditions of Sale by reference. To the extent there is any conflict between these Conditions of Sale and the Privacy Policy, these Conditions of Sale govern.

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